Announced on April 8, 1948 this was not only the first industrial policy statement of India but it decided the model of the economic system (i.e. the mixed economy), too. Thus, it was the *first* economic policy of the country also. The major highlights of the policy are given below:

1. India will be a mixed economy[1].
2. Some of the important industries were put under the ***Central List*** such as coal, power, railways, civil aviation, arms and ammunition, defence, etc.
3. Some other industries (usually of medium category) were put under a ***State List*** such as paper, medicines, textiles, cycles, rickshaws, two-wheelers, etc.
4. Rest of the industries (not covered by either the central or the State Lists) were left open for private sector investment—with many of them having the provision of compulsory licencing.
5. Review of the policy after 10 years.

## INDUSTRIAL POLICY RESOLUTION, 1956

The Government was encouraged by the impact of the industrial policy of 1948 and it was only after eight years that the new and more crystallised policies were announced for the Indian industries. The new industrial policy of 1956 had the following major provisions:

### 1. Reservation of Industries

A clear-cut classification of the industries (also known as the **Reservation of industries**) were affected with three schedules:

### (i) Schedule A

This schedule had 17 industrial areas in which the centre was given complete monopoly. The industries set up under this provision were known as the Central Public Sector Undertakings (CPSUs) later getting popularity